

Pharma confounds expectations with continued strong growth

- **Key changes:** The pharmaceutical sector had a much stronger impact on Q1 GDP than we expected, with the economy rising by 1.9% q/q. Therefore, we've raised our 2026 growth forecast by 1.6ppts to 3.1%. Elsewhere, domestic demand had a mixed quarter, but private consumption growth picked up as households reaped the rewards of the electricity tax cut. Overall, the impact of higher global oil prices and some supply-chain disruption isn't having a significant impact on the economy.
- **Short-term forecast:** Despite an agreement being reached, the US-Iran war will have some adverse impact on growth. But we still expect a solid year for the non-pharma Danish economy. Robust household real income growth means private consumption growth should increase this year, as inflation will be much lower compared with that in other European countries. Danmarks Nationalbank raised its policy rate in June, but any hit to corporate borrowing growth will come from an already strong position. However, the elevated global trade policy uncertainty will keep a lid on credit growth in the near term.
- **What to watch out for:** There are likely to be bumps in the road for the US-Iran agreement and it will take time for shipping in the Strait of Hormuz to approach pre-war levels. Delays may result in a larger impact on household budgets and business confidence. Denmark's highly open economy would be hit if broader European growth underperforms expectations. With households still saving well and in excess of the pre-pandemic level, private consumption could also falter if the labour market weakens.

Table 1: Denmark forecast overview

(ANNUAL PERCENTAGE CHANGES UNLESS SPECIFIED)						
	2023	2024	2025	2026	2027	2028
GDP	0.6	3.5	2.9	3.1	1.0	2.0
Private consumption	-2.5	1.0	2.3	3.4	3.0	3.1
Consumer prices	3.3	1.4	1.9	0.9	1.2	1.8
Industrial production	6.2	10.1	7.2	5.9	1.2	2.9
Employment	0.5	1.4	0.2	0.2	1.0	0.5
Unemployment rate (%)	2.8	2.9	2.9	3.0	2.8	2.6
Current a/c balance (% of GDP)	11.0	12.2	12.5	12.8	11.9	11.4
Government balance (% of GDP)	3.6	4.4	3.0	3.0	3.1	3.2
Gross government debt (% of GDP)	33.2	30.8	28.2	26.0	23.4	20.5
Central bank policy rate (% EOP)	3.60	2.60	1.60	2.10	1.60	1.60
10yr govt. bond yield (% EOP)	2.26	2.11	2.66	2.86	2.91	2.96
Exchange rate (krone per US\$, EOP)	6.74	7.14	6.35	6.38	6.31	6.31

Source: Oxford Economics

Baseline forecast

Recent developments

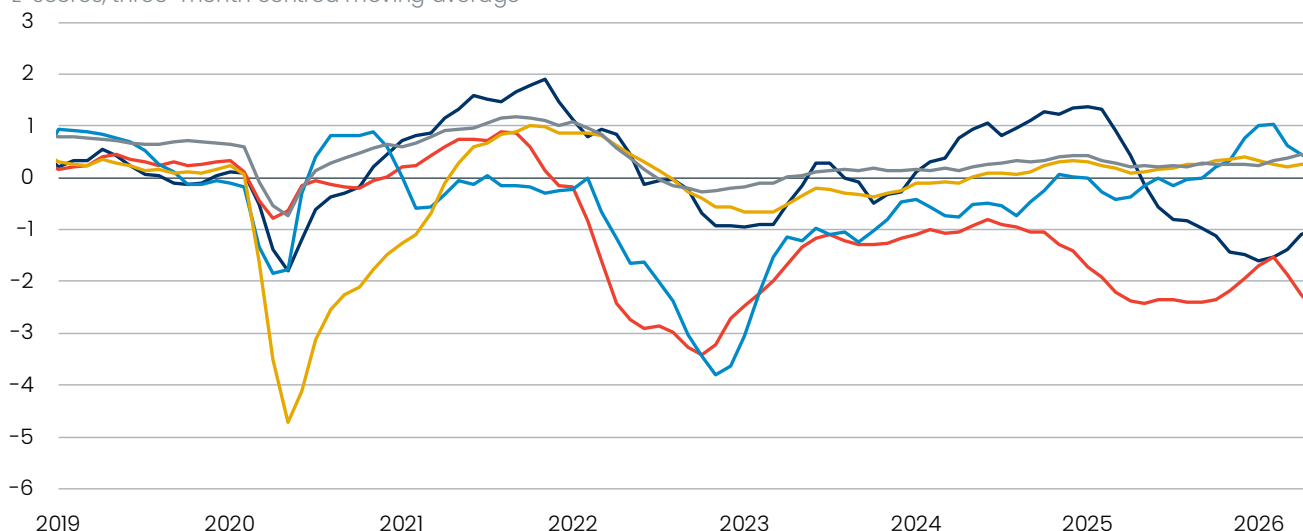
The pharmaceutical sector was responsible for most of the economy's 1.9% advance in Q1. Excluding pharma, growth was a far more modest 0.2% q/q, dragged down by a contraction in public consumption after a very strong Q4 print. Fixed investment also had a weak quarter. The main bright spot was private consumption, with spending rising by 1.1% as households reaped the rewards of the electricity tax cut.

Consumer confidence fell further in May after a sharp drop in April, but we're cautious of reading too much into this, given the favourable backdrop for real income growth, and the fact that indices of immediate purchase intentions remain robust. Moreover, confidence rose across industry, services, and retail firms, reversing some of the dips in April. We think this suggests that although firms are pricing in some weakness due to the war in the Middle East, the impact should be minor and significantly less severe than the demand hit experienced after Russia invaded Ukraine. The recent US-Iran agreement also reduces the tail risk of more severe falls in confidence in economic activity.

Chart 1: Confidence is taking a hit, but we don't think it will significantly derail the outlook

Denmark: Confidence by sector

z-scores, three-month centred moving average



Sources: Oxford Economics, Haver Analytics

Short-term forecast

The strong outturn for pharmaceuticals and subsequent stronger growth for goods exports means we've further raised our 2026 GDP growth forecast by 1.6ppts to 3.1%. Compared with our pre-war baseline, we expect weaker growth in the non-pharma economy through higher inflation and business uncertainty. But we expect the Danish economy to weather the storm better than other European countries. Our upward inflation revisions are, therefore, much smaller in comparison.

Policy assumptions

Fiscal policy. After several years of large budget surpluses, fiscal policy will be much looser this year due to the electricity tax cut to the EU minimum rate. We envisage the authorities making the tax cut permanent following

the current end-2027 expiry date. Nevertheless, we expect government finances to remain comfortably in a surplus. That said, defence spending is likely to rise slightly to 3.5% of GDP as part of the 2025-2026 “acceleration fund”, which is seeing Denmark increase defence spending much faster than other European countries.

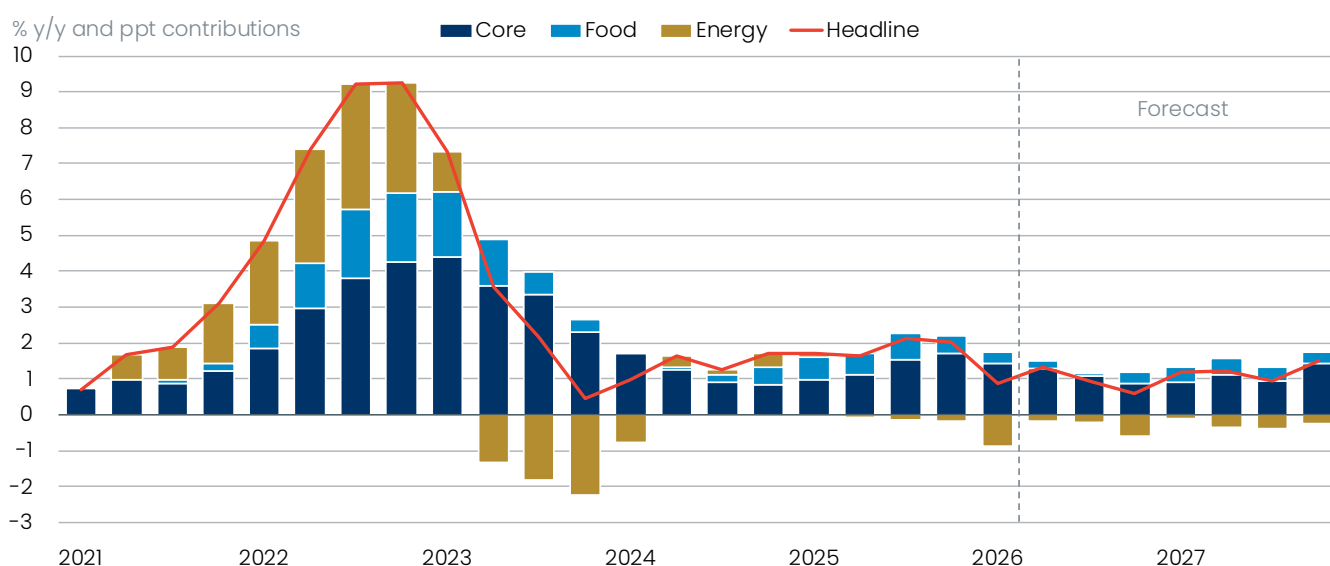
Monetary policy. We expect Denmark's Nationalbank to maintain its current -40bps spread vis-à-vis ECB rates as the currency is trading well within its target range versus the euro. Therefore, we expect the central bank to follow the ECB and hike again in July, after the hike in June. This is to keep inflation expectations anchored, reflecting a new era of more frequent global supply shocks that require a more robust policy response. The ECB's communication has been hawkish since the inflation surge in 2022, and we don't think it will be able to look through the current energy shock, even if it deems it temporary. However, we expect the ECB to cut rates again relatively quickly in mid-2027 as energy prices normalise.

Key drivers of short-term forecast

Electricity tax cut will support real incomes. The cut to the minimum EU electricity tax came into force in January and has lowered the average household electricity bill by around 35%. Although we've raised our 2026 inflation forecast due to higher oil prices, we still expect inflation to ease to 0.9% this year from 1.9% in 2025 (**Chart 2**). The currency appreciation versus the US dollar since the announcement of higher tariffs last year will also contribute to keeping inflation subdued. Underlying inflation momentum is hovering just below 2% y/y, and we think the risk of a re-acceleration is low. The main upside risk to inflation stems from a longer or deeper impact from the conflict in the Middle East, which may result in larger second-round effects on core inflation than we currently assume.

Chart 2: Energy prices will remain deflationary despite the rise in global oil prices

Denmark: Inflation



Sources: Oxford Economics, Haver Analytics

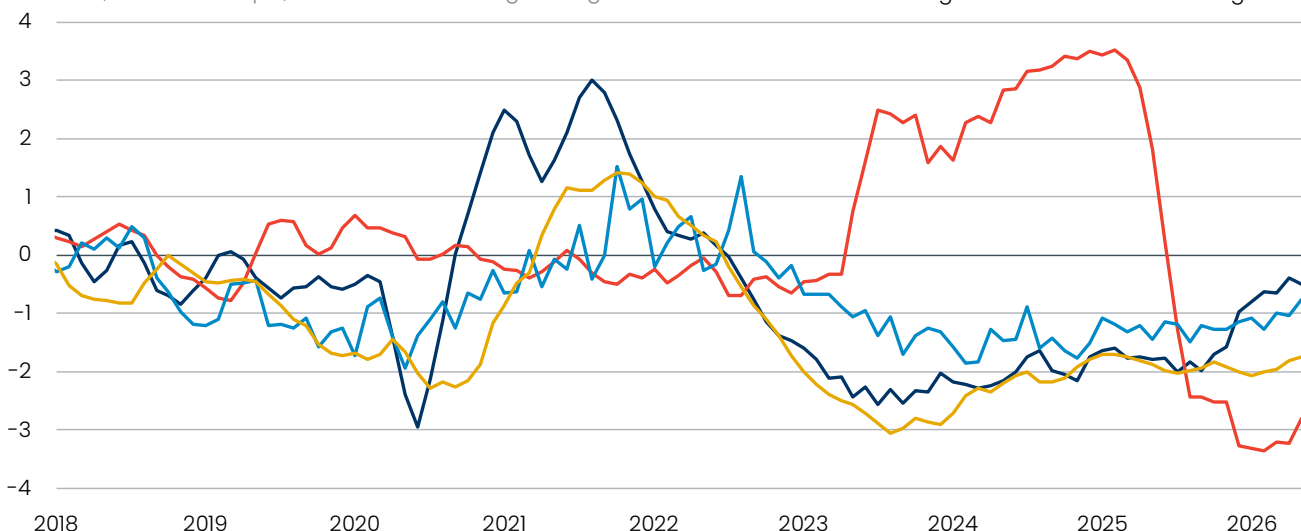
Gains in new orders are becoming broader. Since bottoming out in 2024, new orders minus inventories have been gradually rebounding across the industrial sector. Uncertainty caused by the rise in global tariffs has stifled the recovery somewhat, but it should improve this year as global demand has remained largely resilient. Denmark's relatively green industrial energy mix and the decoupling of European electricity prices from higher gas prices should mean a limited spillover from higher geopolitical tensions. Equipment and green-related industrial sectors should also see positive spillovers from the investment-heavy German fiscal spending package.

We'd previously been more pessimistic about the pharmaceutical outlook, but exports have proven more resilient than we anticipated and orders data have improved in recent months. Production data have generally stayed resilient, given the sharp decline in new orders.

Chart 3: Demand prospects are more robust in non-pharma manufacturing

Denmark: New orders minus inventories

z-scores, 2000-19 sample, three-month moving average



Sources: Oxford Economics, Haver Analytics

Government surplus will narrow this year. The government surplus narrowed last year but remained healthy at 3.0% of GDP. We expect a significant growth impulse from fiscal policy in 2026 as the lower electricity tax supports real income growth and further Next Generation EU expenditures are realised. The government increased defence spending to 3.3% of GDP last year, much faster than other European countries and exceeding the 3% target laid out in the acceleration fund. But we think the growth spillovers from higher defence spending will be limited given Denmark's very small defence production industry, necessitating equipment imports.

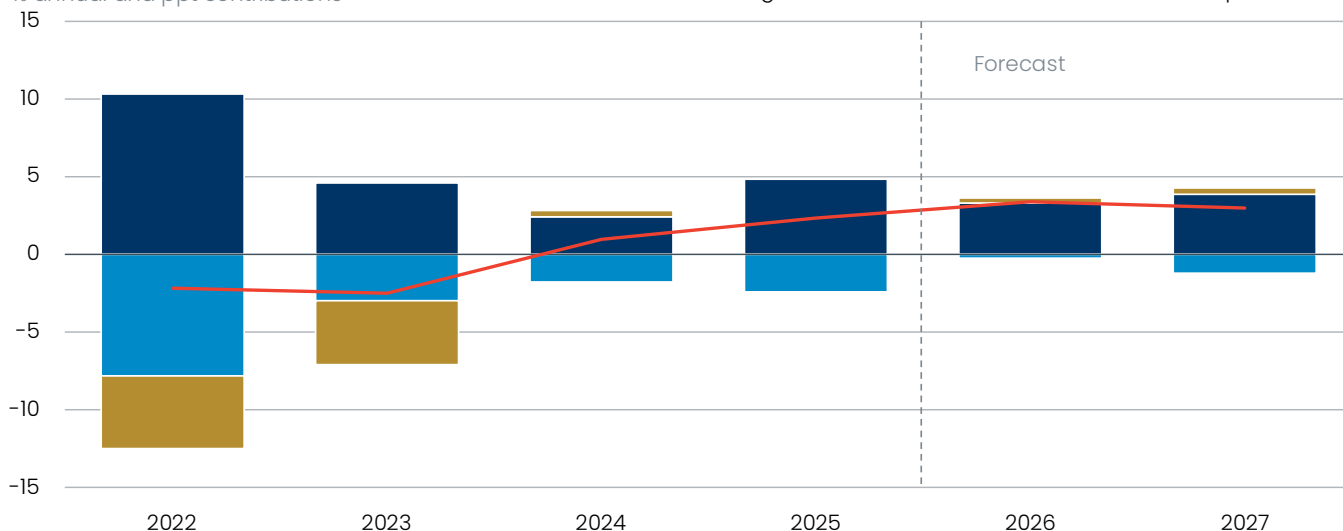
Denmark's fiscal position remains incredibly sound and affords the government significant headroom to support growth without needing to issue new debt, which has been falling in nominal terms since 2023. We forecast debt will decline over the long term from its current low level.

Consumers are in no hurry to dissave, but spending growth remains healthy. Household consumption growth has picked up in recent years. This has been driven entirely by much more benign inflation and robust nominal income growth. Although Denmark's Nationalbank's interest rates are lower than in 2023, households are still saving well in excess of their pre-pandemic average (Chart 4). With the current energy price shock and the legacy of previous shocks lingering in the minds of consumers, we don't think households are in any hurry to dissave. But solid fundamentals for real income growth mean household spending should remain strong anyway. The household saving ratio is likely to settle above the level seen prior to the pandemic, given this was a period of near-zero interest rates.

Chart 4: Solid private consumption growth isn't being driven by households saving less

Denmark: Private consumption by drivers

% annual and ppt contributions



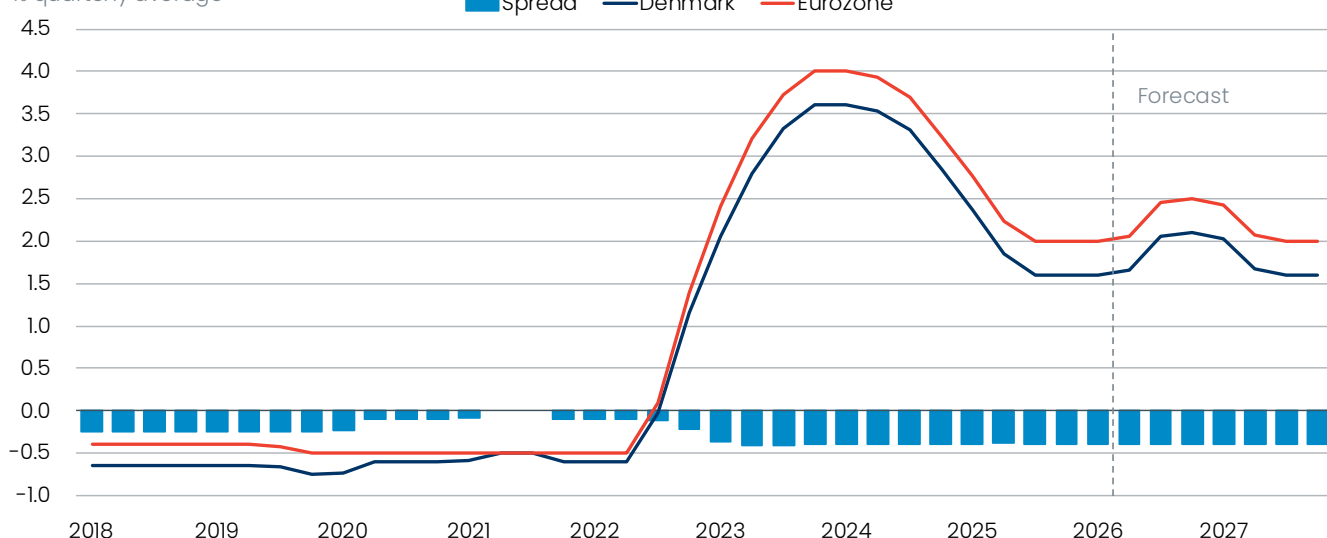
Sources: Oxford Economics, Haver Analytics

US-Iran agreement means July rate hike should be avoided. The ECB hiked its policy rate by 25bps in June, which was mirrored by Danmarks Nationalbank. The central bank argued that the inflation caused by the war in the Middle East and the broadening of inflationary pressures made the move necessary. We see the hike as a necessary recalibration in policy that adjusts the ECB stance to an environment where inflation risks have worsened considerably. The US-Iran agreement and subsequent fall in oil prices mean we now think a July rate hike is off the table and see Danmarks Nationalbank maintaining its spread versus the ECB's deposit rate of -40bps (Chart 5).

Chart 5: We expect Danmarks Nationalbank to mirror the ECB's rate hikes

Denmark and Eurozone: Deposit rates

% quarterly average



Sources: Oxford Economics, Haver Analytics

What to watch out for

Denmark's overall economic risk is still low, and its consensus-based political culture should continue to provide stability. The government debt-to-GDP ratio will remain low compared with that of other advanced economies. But its highly open economy is exposed to deteriorations in global demand.

High household debt, despite years of deleveraging. The bursting of the property bubble during the global financial crisis left many households in negative equity. As accumulated household debt is about 170% of annual disposable income, compared with 100% in the Eurozone, households will need to deleverage over the next few years.

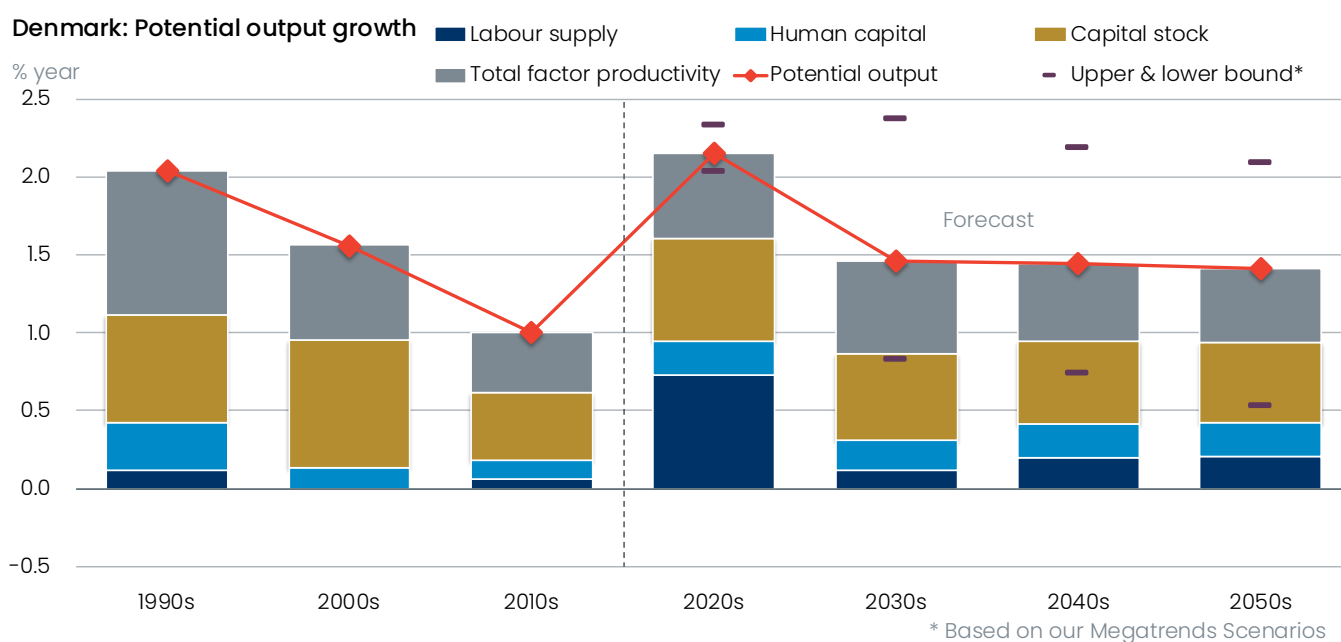
Tight labour market. Unemployment was extremely low before the pandemic, and labour shortages intensified significantly after the economy reopened. Despite rising in recent years, the unemployment rate remains very low and there are still significant labour shortages in some sectors. A stricter stance on immigration in recent years has made attracting skilled workers more difficult and has been an obstacle to increasing the labour supply. However, raising the retirement age will improve the labour force participation of older workers.

Export headwinds. Denmark has a high proportion of non-cyclical and price-inelastic goods in its export basket, which limits the impact of weaker global demand on economic growth. But services exports still make up a sizeable part of the export basket and are vulnerable to a slowdown in regional growth due to the openness of Denmark's economy.

Long-term prospects

Denmark's long-run growth dynamics are among the most favourable in Europe. We expect potential output growth to pick up notably in the 2020s, before slowing to just above pre-pandemic growth rates in the long term ([Chart 6](#)).

Chart 6: Total factor productivity and capital stock are the key long-term growth drivers



Sources: Oxford Economics, Haver Analytics

Denmark's population is now close to 6mn and it has some of the most positive labour market trends in Europe. A rising retirement age in line with increasing life expectancy is offsetting the impact of an ageing population on

the workforce. Higher participation rates among older cohorts will mean the labour supply contributes positively to growth, although those rates will fall over the long term.

Denmark ranks highly on global scores of preparedness and adoption of artificial intelligence. The economy stands to benefit substantially from the expansion of AI due to extensive digitalisation, strong public investment in research and development, and a business-friendly regulatory system. We estimate that AI will add 2.4ppts to potential GDP by 2050, which we've incorporated into our long-term forecasts. We forecast that the peak impact of AI on Denmark's GDP growth will be in the early 2030s.

Although the capital depreciation rate will increase in line with digitalisation and technological developments, robust investment growth will result in an increase in the growth of the capital stock. Total factor productivity will contribute strongly to potential growth, mainly owing to high value-add in Denmark's rapidly expanding pharmaceutical sector and the adoption of AI.

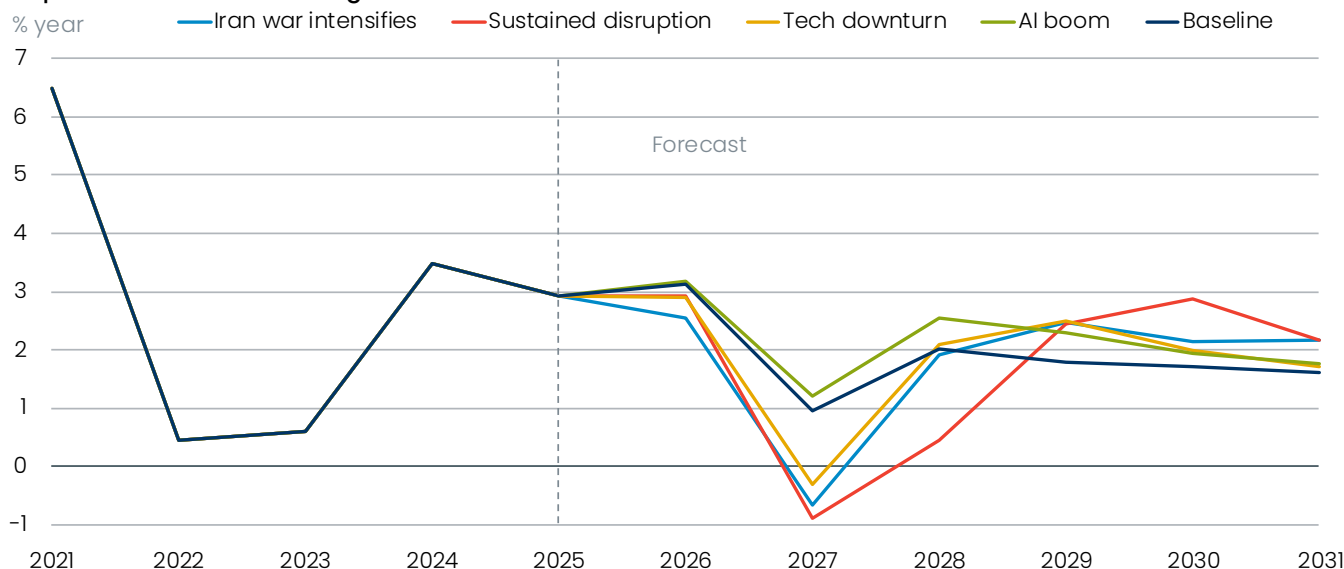
Scenarios

Exposure to key global risks

Iran war intensifies. War in the Middle East intensifies in this scenario. The Strait of Hormuz remains effectively closed. In the near term, before starting to reopen during Q4 2026. Alternative shipping routes also come under threat, while extended conflict increases damage to energy infrastructure. As a result, the Brent oil price rises to an average of \$163pb in Q3, alongside shortages of refined energy products. Gas prices also spike higher. For Denmark, this lowers average GDP growth over 2026–2028 by 0.8ppts ([Chart 7](#)).

Chart 7: A worst-case trade war would push the economy into a recession this year

Impact of scenarios on GDP growth

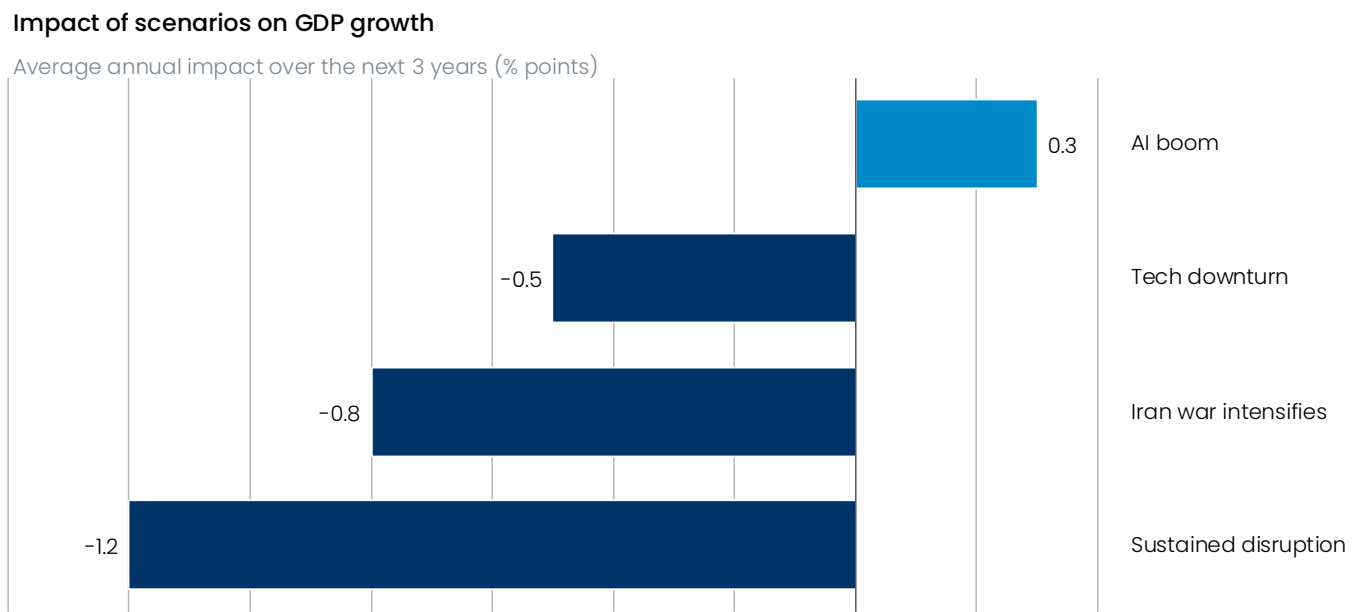


Source: Oxford Economics

Tech downturn. The AI boom turns to bust in this scenario, with global growth slowing sharply under the weight of falls in stock prices and investment. US growth grinds to a halt during 2026. Exporters of tech-related products to the US are hit especially hard, but economies around the world suffer amid worsening sentiment and a substantial depreciation of the US dollar. For Denmark, this lowers average GDP growth over 2026–2028 by 0.5ppts.

AI boom. In this scenario, the global economy is bolstered by buoyant US tech investment and stock prices, at the same time as rapid AI adoption fuels gains in productivity. The world economy strengthens as robust US growth spills over globally, including to exporters of tech-related products to the US. Productivity gains help keep price pressures in check despite the strength of global demand. For Denmark, this raises average GDP growth over 2026–2028 by 0.3ppts ([Chart 8](#)).

Chart 8: Risks are skewed to the downside



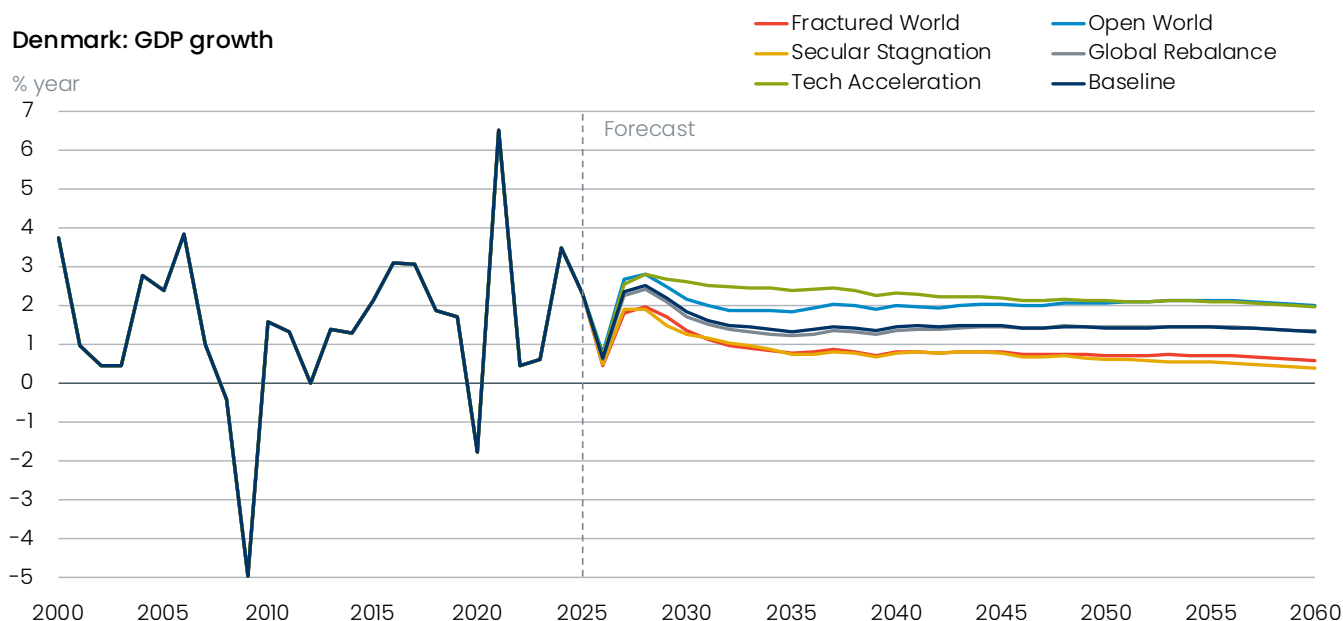
Source: Oxford Economics

Alternative long-run scenarios

Our Megatrends Scenarios explore alternative long-run scenarios to capture the uncertainty around technological advances, demographics, globalisation, and geopolitics. These include:

Technological revolution. In this scenario, trade barriers are eased over the next decade, fostering greater cooperation and improved geopolitical stability. Productivity growth strengthens amid a more stable business environment, technological progress, and higher fertility rates compared with our baseline. Sustained real wage growth increases labour market participation. Denmark’s annual GDP growth would be 1ppt higher than our baseline forecast from 2030–2050. Nominal and real interest rates would also be higher.

Chart 9: The range of potential growth scenarios is wide



Sources: Oxford Economics, Haver Analytics

Fractured world. Under this scenario, trade barriers from rising protectionism become more widespread than in our baseline, driving further deglobalisation and a breakdown in international cooperation. High uncertainty and volatility lead to underinvestment in technology and R&D. Weaker institutions and reduced knowledge spillovers compound the impact on potential output, while poor productivity limits real wage growth and labour participation. In this scenario, Danish GDP would grow by 0.7ppts a year less than in the baseline forecast from 2030-2050, coupled with lower real rates.

Economic risk

Economic risk evaluation

Table 2: Economic Risk Index

	JUN 2026 (SCORES FROM 1 TO 10 WITH 10 = HIGHEST RISK)	SCORE CHANGE FROM DECEMBER	RANK OUT OF 164 (1= BEST)
Overall	1.8	-0.1	1
Market demand	1.0	0.0	1
Market cost	3.0	0.0	13
Exchange rate	2.1	-0.1	10
Sovereign credit	2.1	-0.1	3
Trade credit	1.0	0.0	1

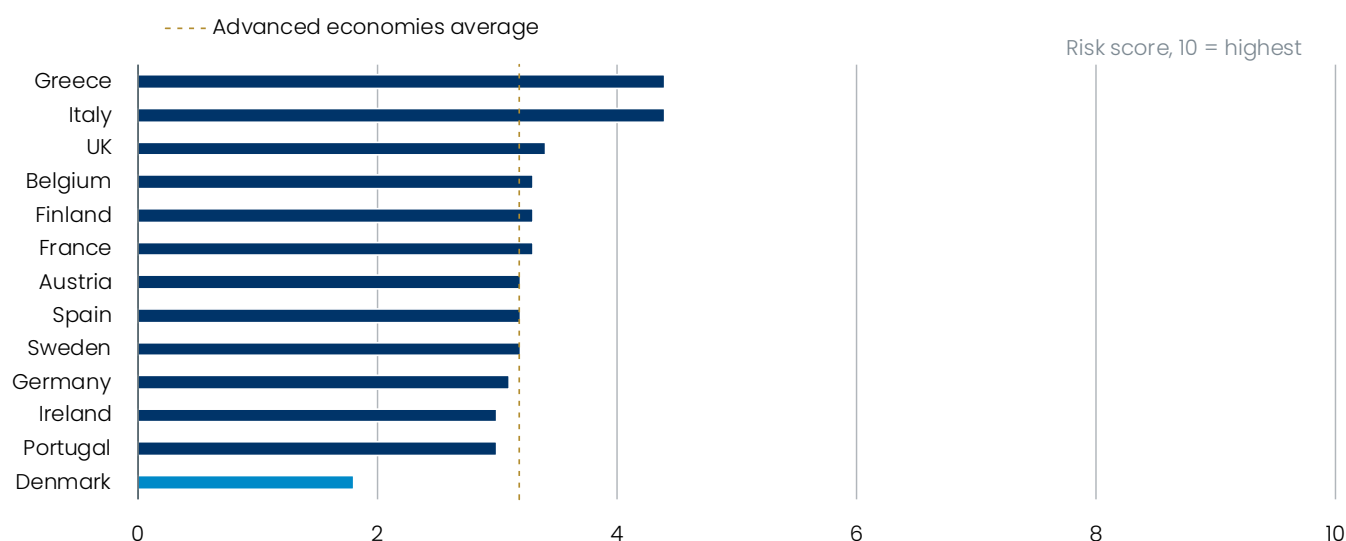
Source: Oxford Economics

Overall risk for Denmark: 1.8/10*

The overall economic risk score for Denmark is slightly lower than six months ago, at 1.8 ([Chart 10](#)), which makes it the least-risky country of the 164 in our survey.

Chart 10: Economic risk in Denmark is very low

Economic risk: Denmark vs Advanced economies average



Source: Oxford Economics

Healthy fundamentals in households and industry helped the Danish economy to recover quickly from the impact of the coronavirus pandemic. Following Russia's invasion of Ukraine, the economy maintained its strength for longer than we anticipated. Exceptional growth in pharmaceutical production, linked to Novo Nordisk's rapid expansion, has heavily supported economic growth. But growth is increasingly shifting towards the non-pharma economy, becoming more reliant on domestic rather than foreign demand.

Market demand: 1.0/10

Denmark has the lowest possible market demand risk score of 1.0, well below the advanced economies average of 3.4. This reflects the country's stable demand and output conditions.

Consumer demand fell by 2.5% in 2023 but rose to 1% growth last year. We forecast consumption growth will average about 3% over 2025–2027. The avoidance of a no-deal Brexit eliminated some downside risks to market demand. But rising protectionism globally, alongside ongoing structural and banking concerns within the Eurozone, will continue to limit market demand over the medium term.

Market cost: 3.0/10

The market cost risk score is 3.0, slightly above the advanced economies average of 2.7.

The tight labour market has put upward pressure on wages in recent years, which has fed into higher overall market costs. A tighter stance on immigration makes it harder for migrant labour to fill the gap, although the increased participation of older and part-time workers in the labour force partly offsets this. Still, a rapid recovery in employment may add upward pressure on wages if participation rates take longer to recover.

Exchange rate: 2.1/10

Under our methodology, the foreign exchange risk score is 2.1, slightly lower than six months ago and below the advanced economies average of 3.1.

The Danish krone is pegged to the euro as part of the European exchange rate mechanism. Denmark's Nationalbank is tasked with maintaining the peg through currency interventions. The central bank openly defends the krone peg to the euro, proven by its extensive intervention in the currency market at the start of 2020. In recent years, the central bank has also adjusted the rates spread versus the ECB to defend the currency peg. We expect the current 40bps spread to be maintained.

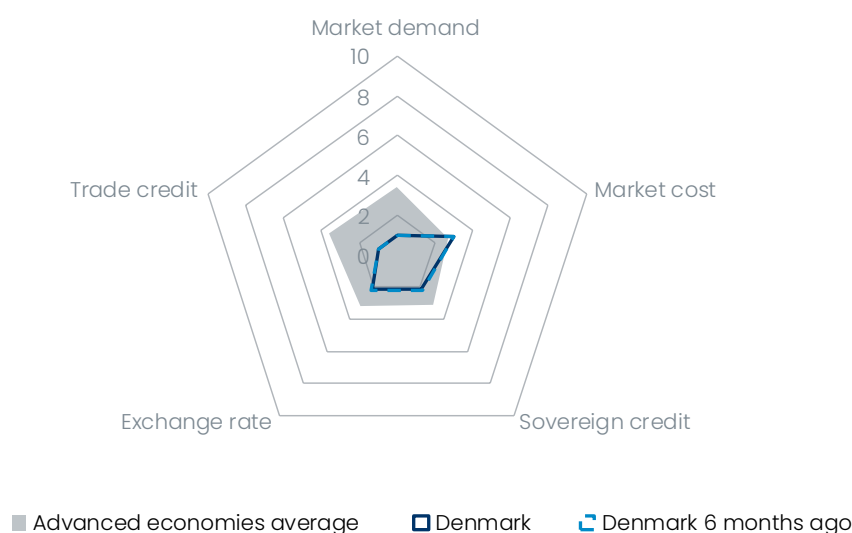
Sovereign credit: 2.1/10

Denmark's sovereign credit risk score of 2.1 is the third lowest in our survey and is slightly lower than it was six months ago. It's below the advanced economies average of 3.1.

The public finances are in good shape, as Maastricht government debt as a proportion of GDP ended 2025 at 30.7%. The government budget has recorded healthy surpluses since 2017, with government spending as a share of GDP lower than it was before the global financial crisis. We think debt will continue on a downward trajectory over the long term. Due to Denmark's strong economic growth, its government surplus has been the largest in the EU for several years.

Chart 11: Denmark has the lowest score out of 164 countries

Economic risk: Denmark vs Advanced economies average



Source: Oxford Economics

Trade credit: 1.0/10

The trade credit risk score – a measure of private-sector repayment risk – is currently at 1.0, below the advanced economies average of 2.9 and the same as six months ago.

The low score reflects the robust financial health of Danish businesses, which the government's active fiscal policy has supported since the start of the pandemic, preventing the score from rising.

* Risk scores are from 1 to 10, with 10 representing the highest risk. For our full country risk service, see [Economic and Political Risk Dashboard](#). Sovereign credit risk comes from our sovereign risk tool and foreign exchange risk comes from our FX tool. [Find out more](#).